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Operator

Good morning. This is the conference operator. Welcome, and thank you for joining Credit Suisse Group's Full year and Fourth Quarter 2020 Results Conference Call for analysts and investors. [Operator Instructions] and the conference is recorded. [Operator Instructions]. I will now turn the conference over to Kinner Lakhani, Head of Investor Relations and Group Strategy and Development. Please go ahead, Kinner.

Kinner Lakhani -- Head of Group Strategy & Development

Thank you, operator. Before we begin, let me remind you of the important cautionary statements on slides two and three, including in relation to forward-looking statements, non-GAAP financial measures and Basel III disclosures. For a detailed discussion, we refer you to the Credit Suisse Fourth Quarter 2020 Earnings Release, published this morning. Let me remind you that our 2020 annual report and audited financial statements for the year will be published on or around March 18, 2021. I will now hand over to our group CEO, Thomas Gottstein; and our group CFO, David Mathers, who will run through the numbers.

Thomas Gottstein -- Chief Executive Officer

Thank you, Kinner. Good morning, everyone. Thank you for joining our call this morning to discuss our fourth quarter and full year 2020 results. Let me begin, as I have since I became group CEO one year ago with some comments on the current environment. We continue to monitor with full vigilance, the elevated levels of COVID-19 cases in Switzerland and all the countries around the globe where we operate. In my first year, I'm very proud of what Credit Suisse has delivered for clients, employees and shareholders. For clients, we took a leading role in establishing Switzerland's successful lending facility last year and help clients around the globe, navigate turbulent economies and markets. For our employees, we created a safe and productive environment while moving to a mostly digital footprint in a short period of time. Our success is reflected in a survey last year that showed more than 90% of employees felt well supported and well informed by management. For shareholders, we paid the full dividend with respect to 2019 and reinitiated our 2021 share buyback program early this year in January. We stand ready to do our part for our communities and economies, be it here in Switzerland or elsewhere, through lending initiatives, donation programs and other measures. In the challenging 2020 environment, we delivered solutions for our clients to help them seize opportunities and manage risks in turbulent times. We addressed historic issues and invested in our businesses. We launched sustainability, research and investment solutions, SRI, to put sustainability at the heart of our offering to private, corporate and institutional clients.

We entered 2021 with strong momentum, as evidenced by our best January in a decade. Pretax income for the month was up year-on-year across all divisions. Investment banking revenues are up substantially from the same period in 2020. Notwithstanding the fragility of the global economy due to the pandemic, the growth strategy that I will discuss with you today puts us in an excellent position to build on our progress and to achieve our midterm ambitions that we set out at our investor update in December and which we reaffirm today. With that, let me turn to the slides. Let me start with slide four. Our step-by-step growth strategy builds on the work completed in the last few quarters. This is supported by a strong balance sheet that allows us to invest by maintaining our disciplined approach to capital distribution. A few weeks ago, in early January, we announced that we would have to record a pre-tax loss in the fourth quarter. This is primarily the result of having addressed historic and other issues. These included major litigation provisions of CHF757 million, largely related to RMBS cases and impairment relating to York of CHF414 million within our asset management business. As a result, we recorded a

CHF353 million. For the full year 2020, we reported pre-tax income of CHF3.5 billion and net income attributable to shareholders of CHF2.7 billion. However, our adjusted pre-tax income, excluding significant items, was CHF4.4 billion in 2020, up a healthy 6% from 2019. And we achieved this result despite CHF1.1 billion of provision for credit losses and significant FX headwinds caused by the weaker U.S. dollar. Let me say a few words about some of our challenges at the end of last year.

At our investor update two months ago, I spoke about my personal priorities and the importance of dealing with legacies and of accountability, which is one of the pillars of our refreshed code of conduct that we unveiled last month. Some of the cases I mentioned date back many years. Nevertheless, these cases have affected our results in 2020. In light of the COVID-19 situation and resulting economic environment and together with our assessment of shareholder returns in 2020, we have decided, with the approval of the Board of Directors, to lower our overall bonus pool by 7% for 2020 compared to the previous year. We are reducing short-term incentive awards for the Executive Board to an even greater extent. This decision underscores to our employees, clients, shareholders and stakeholders that accountability and transparency are of the highest priority for us at Credit Suisse. As you can see on the left side of the slide, we executed four strategic initiatives to support our growth agenda. These refinements are expected to generate approximately CHF400 million and CHF450 million in savings per annum from 2022 onwards. We are targeting growth investments of CHF300 million to CHF600 million in 2021 across Wealth Management and the Investment Bank. This is accompanied by investments in relationship manager recruitment, ESG products and private markets. We intend to invest most of our marginal capital generated into Wealth Management to deploy into lending. In 2020, we made a total capital distribution of around CHF one billion through our 2019 dividend and 2020 share buyback. Our strong capital position, a CET1 ratio of 12.9% at year-end 2020, allows us to invest and capture growth opportunities while providing attractive capital return through dividends and share buybacks.

We recommend an increase of our dividend for 2020 of 5.4%, above our 2019 dividend. We expect the total capital distribution of at least CHF1.8 billion in 2021, subject to market and economic conditions. Our resilient results came amid a challenging macroeconomic and operating backdrop. Many developed economies have struggled to recoup output lost last spring although the APAC region remained resilient. This led to a prolongation of the lower-for-longer interest rate environment, driving strength in the Swiss franc, our reporting currency. The low interest rate environment has been something that we have been dealing with in Switzerland for many years, but that all banks which are active in the U.S. dollar market have now had to conform to. Equity markets have recovered, aided by COVID-19 vaccines, strong fiscal and monetary stimulus and the expectations for an economic rebound. Next page, please. The economic and interest rate backdrop was challenging for banks. Credit losses were elevated in the U.S. and Europe by low interest rates weighed on net interest income. Meanwhile, restrictions on bank dividends and share buybacks weighed on bank shares' prices in many jurisdictions. Next page, please. Despite this challenging macroeconomic and operating environment, we have recorded a 22% growth in pre-provision profit in 2020 year-on-year on an adjusted basis or 30% at constant FX rates. We enter our growth phase with a lot of momentum, both in our Wealth Management businesses as well as in the Investment Bank. Whilst 2021 remains somewhat difficult to predict, this should allow us to achieve our medium-term ambition of 10% to 12% return on tangible equity in a normalized environment, subject to market and economic conditions.

Next slide, please. Developing and executing major strategic initiatives is difficult in the best of times. Doing so amid the worst economic and public health shock in decades requires a monumental but necessary effort across our bank. Notably, we created a single investment bank, which has provided scale and diversification. It has spurred both cost and revenue opportunities as well as more flexibility with respect to capital allocation, the benefits of which are increasingly evident in the momentum of the franchise. We launched SRI, combining research, investment solutions and products, impact advisory and finance as well as marketing and branding. We are integrating Neue Aargauer Bank into Swiss Universal Bank and launched our digital offering CSX to optimize our national branch network and drive digitalization. We

measures in IWM and the corporate center, are expected to generate gross savings of approximately CHF400 million to CHF450 million per annum from 2022 onwards. We expect to invest these savings in growth opportunities across the group. Next page, please. Let me now turn to our global Investment Banking business, where our revenues saw a strong rebound last year, in line with many of our peers. As you can see on the left of this slide, global revenues grew 19% in 2020 to USD10.2 billion. As you know, although Global Trading Solutions is housed in the IB division, some revenues are booked in the other three divisions. If you were to include all of those GTS revenues, such growth would be even higher. Therefore, this was only modestly below industry revenue pool growth of 24% despite our underweight position in macro, which contributed significantly to industry revenue growth last year.

This demonstrates the underlying momentum in our franchise, which are either strongly connected to the wealth management business, or our higher return businesses. Our revenue increase was broad based across products in all four main areas. We have leading positions across fixed income, equities, and capital markets. As a former ECM banker, I'm particularly proud for being number one in global IPOs in 2020, one of the biggest years on record for global IPOs. slide 10, please. Our capital markets and advisory franchise has gained momentum and outperformed the Street. Based on Dealogic data, we achieved a 37% year-on-year growth in fees for these franchises in 2020 based on global revenues, a faster rate of growth than our leading peers. We grew market share from 3.7% in 2019 to 4.3% in 2020. We achieved especially strong growth in equity capital markets. slide 11, please. Our diversified, balanced and integrated Investment Bank division is poised to continue delivering sustainable returns with reduced earnings volatility. We believe that our business mix is well positioned for the post-COVID-19 environment with an expected recovery in M&A and asset finance. We believe that capital markets activity will be driven by IPOs and leverage finance with a more tailored offering in macro. We are growing connectivity between the Investment Bank and Wealth Management, with GTS as a gateway between the two businesses. This delivers institutional-style solutions to Wealth Management clients. GTS saw 31% revenue growth year-on-year in 2020. As a result, we achieved a 70% growth in adjusted pre-tax income in the Investment Bank division last year, and grew our adjusted return on regulatory capital to 13%, well within our medium-term ambition of 10% to 15% RoRC for the Investment Bank.

Next page. Our ambition is to be a leader in sustainability. One of the most significant decisions that I took in my first year as group CEO was to create SRI at the Executive Board level along with setting an ambitious target to provide at least CHF300 billion in sustainable financing over the next 10 years. We infused environmental, social and governance standards at the heart of research, advisory, Investment Bank and Wealth Management. We announced additional initiatives at our investor update, including the development of science-based targets within the next 24 months and repositioning our portfolio to support client transitions. Earlier this week, we have also announced a collaboration agreement with BlackRock Alternative Investors to co-develop products in the private and alternative space with ESG integration. This allows us to leverage our thematic super trends capabilities as part of our House View. The collaboration continues our strong focus on providing differentiated alternatives and private market solutions to our clients. We are not simply applying ESG to our client solutions. We are embedding them in our own operations as well. These include our focus on diversity and inclusion, a clear purpose statement, a refreshed code of conduct and Sustainability Advisory Committee at the Board of Directors level. We have received recognition for our engagement including being upgraded to an A rating by MSCI, putting us in the top 15% of our peer group. Next page, please. A key initiative for our home market last year was the decision to integrate our 100% owned Neue Aargauer Bank subsidiary into Credit Suisse AG. The legal merger was completed in November 2020.

The operational integration is on track, which will result in unified coverage and enhanced client offering. We have successfully retained business in the face of fierce competition, well above our base plan. The integration of NAB is part of a broader adoption of our retail and SME business model and branch network to reflect change in client behavior around digitalization with a halving of the number of branches since 2013. The implementation of cost synergies is on course, part of our roughly expected CHF100 million in gross savings per annum in the Swiss

affluent and retail business with our newly launched digital offering, CSX. Next page, page 14. The crisis confirmed the effectiveness of our risk management practices. We navigated the peak of the COVID-19 pandemic last spring, in part because 87% of loans were collateralized. 60% of our loan book relates to the Swiss Universal Bank, and Switzerland has had historically low credit loss experience compared with other regions. Our strategy is to accelerate growth in a risk-controlled way across the cycle. We aim to keep our rigorous standards consistent with our performance over 2010 to 2020, which saw an average provision for credit loss ratio of under 10 basis points. Our compliance organization has seen significant investments in people, systems, and technology over the last few years. After this upgrade of our compliance and nonfinancial risk functions, we are convinced that combining the risk and compliance functions into one organization will further drive efficiencies and effectiveness of control at the same time. It enables more consistent execution and delivery of our control framework across risk and compliance. slide 15, please.

As presented at our investor update in December, Wealth Management is our core business and continues to be one of the most attractive segments in financial services. Global wealth is expected to increase by USD25 trillion by 2024, a faster rate of growth than global gross domestic product. Emerging market wealth is expected to grow 11% per annum, driven by entrepreneurs and ultra-high net worth is the fastest-growing wealth segment, both areas where we are especially well placed. We are particularly focused on capturing growth opportunities in Asia Pacific. With 56% of the world's population, Asia Pacific's growing middle class remains one of the biggest trends and drivers in the global economy. The ultra-high net worth segment is growing about 11% as well, faster than the rest of the world. APAC is absolutely core to Credit Suisse. And today, the region accounts for almost 20% of our total net revenues, and this includes the APAC portion of investment Banking, which compares to only around 12% for many of our global peers. page 16. Assets under management across Credit Suisse group increased from CHF1.2 trillion in 2015 to CHF1.5 trillion in 2020 at compound annual growth rate of 4%, including Wealth Management AUM growth of 5% annually. On a U.S. dollar basis, the growth would have been faster per annum, namely 7% with total AUM of over USD1.7 trillion as per the end of 2020. This highlights the attractive underlying growth momentum of our franchises. Now let me dig a little bit deeper into assets under management because the AUM is only part of the picture. On page 17, I will go into more detail what for me is the more important element, which is the client business volume. Because when I look at our underlying Private Banking franchise from a quantitative perspective, I look at client business volume. Our Wealth Management opportunity comes from a combination of assets under management, net loan as well as custody assets.

These custody assets, which includes lower profitability, unlevered client assets such as single stock positions, gold or cash without any advisory mandate around them, provide us with dry powder to convert into AUM and loans as well as transactional revenues. The vast majority of client business volumes in International Wealth Management and notably, APAC are denominated in U.S. dollars or in currencies that are pegged to the U.S. dollar. This is why we are showing the numbers on this page in Swiss francs for SUB and in U.S. dollars for IWM and APAC. We have generated substantial client business volume growth across our Wealth Management franchises, particularly in APAC, which achieved 14% compound annual growth rate in U.S. dollar terms between 2015 and 2020. We have also seen growth in IWM, Private Banking client business volume including and especially under the leadership of Philipp Wehle over the last two years. Our ambition is to maintain or accelerate these growth rates going forward with annual client business volume growth of mid-single digits for the Swiss Universal Bank, mid- to high-single digits for IWM and double-digit growth in APAC. slide 18, please. Our central mission at Credit Suisse is to provide solutions to our clients that help them find opportunities and manage risk in turbulent times. Our House View added substantial value for our clients during the pandemic. As you can see from this slide, we made key calls at critical junctures. Most notably, our CIO and his team had the courage to go overweight on equities on March 25, close to the market lows. Our discretionary mandates, which are based on our House View outperformed 67% of clients in a nondiscretionary portfolio on a 3-year view. Our decision last year to house Chief Investment Office within SBI allow us to better align ESG standards into our investment processes as well

You may remember this slide from our December Capital Markets Day. It shows our specific growth metrics for Wealth Management. It is other than revenues, which remains a key metric, how we measure ourselves, and it should also be the way you should measure us. We are committed to accelerating growth in Wealth Management, building on the core principles under our unique bank for entrepreneurs model, investing most of our marginal capital into Wealth Management. Our growth strategy includes further development of our ESG solutions and our already successful collaboration with the Investment Bank and with Asset Management. You can see our specific numeric ambitions on the right-hand of the page. Let me highlight our ambition to grow our overall client business volume which includes, again, assets under management, custody assets and net loans to the mid- to high-single digits over the medium term at the group level at constant foreign exchange rates. This includes a medium-term ambition for double-digit growth in APAC, as previously mentioned. slide 20, please. At our Investor Day, we also announced our ambition to grow Wealth Management related pre-tax income, which on an adjusted basis, excluding significant items, was CHF3.8 billion in 2020 to CHF5.5 billion in 2023. Today, we reaffirm our objective for an increase in RoRC to 20% to 25%, and we plan to invest most of our marginal capital generated into Wealth Management to deploy into lending. We are deepening our onshore footprint in faster-growing markets, notably, China. We will also continue to drive GTS, Investment Bank and Asset Management collaboration with the Wealth Management franchise, and we expect to benefit from a normalization in both credit provisions and asset management profitability. slide 21.

We expect to increase our capital return in 2021 compared to 2020, demonstrating the strength of our capital position and business momentum. We achieved a total capital distribution in 2020 of around CHF one billion paid to shareholders. For this year, we expect a total of at least CHF1.8 billion, payable to shareholders through a 2020 dividend of around CHF766 million, and the share buyback of between CHF one billion and CHF1.5 billion. As I said at the beginning, our strong balance sheet allows us to both invest for growth and provide attractive shareholder returns. I will now hand over to David to go over our results in greater detail, and then I will make some concluding remarks before our Q&A. Thank you.

David Mathers -- Chief Financial Officer

Thank you, Thomas. Good morning, everybody, and I'd now like to take you through our financial results in more detail. And before I start, I'd remind you that while our reported performance remains our primary metric, given the combination of the restructuring measures that we announced last summer, the charges that we took in the fourth quarter and the movements that we've seen in some of our equity investments over the last two years, we will continue to give additional emphasis to our adjusted numbers. This quarter is particularly complex given that in addition to our restructuring costs, we have also absorbed the impairment related to our investment in York capital and the increase in our existing RMBS provisions. And you will note that we reached a settlement with MBIA last week. I would highlight two items that we've not previously announced. First, the gain before tax of CHF158 million on our equity investment in SIX Group; and second, the gain before tax of CHF127 million on our equity investment in Allfunds Group, both of which were taken in the fourth quarter. I'd also highlight, again, the adverse effect of the strengthening of the Swiss franc against many of the currencies in which we conduct our business. On a constant currency basis, this translates into a reduction to our adjusted pre-tax income, excluding significant items, for the fourth quarter of CHF108 million compared to the same period last year and for the full year, a reduction of CHF287 million for 2020 compared to 2019. Let me turn to slide 23. So as Thomas has already summarized, Credit Suisse delivered a resilient performance for the year. Reported net revenues are flat year-on-year at CHF22.4 billion. On an adjusted basis, excluding significant items, net revenues were 3% higher. In terms of business trends, we saw a strong performance from the Investment Bank, with heightened transactional activity across the group. Clearly, our Wealth Management businesses suffered from weakness in net interest income, primarily due to the fall in U.S. interest rates and from the impact of the appreciation of the Swiss franc. However, as I will discuss in more detail later on, recurring revenues have sequential quarter on quarter improvement in Suisse

We believe that the adverse trends affecting our net interest income are now bottoming out at current exchange rates. Overall adjusted pre-tax income, excluding significant items, increased by 6% for the full year from CHF4.14 billion to CHF4.38 billion year-on-year. As I've said before, our reported numbers for the quarter were adversely affected by significant charges, which resulted, as we previously guided, in a pre-tax loss for the quarter, totaling CHF88 million. This did, however, mask a resilient underlying performance. Adjusted pre-tax income, excluding significant items, was 10% lower year-on-year, but on a constant currency basis, 1% higher. Our tax charge for 2020 was 23%, in the middle of the range that we'd set for the year. I would note it was a little bit higher than I previously anticipated primarily due to the charges that we took in the fourth quarter. With regard to 2021, I'd maintain our guidance for a level around the mid-20s. Although I'd warn that the rate for the first quarter may be higher than this. I'd once again caution that this assumes unchanged tax regimes in the countries in which we operate, with a particular caveat about whether the Biden administration will amend the U.S. federal tax rate later this year. Reported net income attributable to shareholders for the year stood at CHF2.67 billion, 22% lower than in 2019. That equates to a return on tangible equity of 6.6% for the year compared to 8.7% for 2019. I would note that this drop was entirely due to the year-on-year swing in the contribution of adjustments in significant items, which I'll show in more detail on the next slide. As you can see here, although our reported pre-tax income was 27% lower year-on-year on an adjusted basis, excluding significant items, it was 6% higher as the impact of the items that I've listed here, swung from a net credit of CHF577 million in 2019 to a net debit of CHF908 million in 2020. I'd add that once you adjust further for FX movements, our adjusted pre-tax income, excluding significant items, was 13% higher year-on-year. Let's just turn to the next slide, please, and just look at the CET1 ratio. We finished 2020 with a CET1 ratio of 12.9%, approximately 20 basis points higher than at the end of the previous year.

And I'd reiterate my previous guidance, which is that we intend to maintain a CET1 ratio of at least 13%.

Net income attributable to shareholders of CHF2.7 billion contributed CHF1.10 per share with the effects of our capital distribution program and share-based compensation awards, resulting in a total for the year, before own credit and FX movements, of CHF16.94 per share. As you know, tangible book value per share is influenced by movements in our own credit spreads and by FX changes, given that we retain a significant amount of our capital denominated in U.S. dollars. Now with regard to our own credit moves, spreads widened in the first quarter and then subsequently narrowed, leaving a net impact of CHF0.08 for the year. However, the negative impact from currency move was much more marked, totaling CHF1.27 for the year, of which CHF0.49 came in the final quarter. And next, I'd just like to update you on the progress of our restructuring program. As a reminder, we said in July that we expected to spend approximately CHF300 million to CHF400 million on this program over the course of 12 months and that we expect to generate around CHF400 million in run rate savings, with the full benefit being realized from 2022 onwards. The key components of the restructuring were, bringing together our Investment Banking and Capital Markets and Global Markets businesses together into a single investment bank together with APAC markets, creating a new function, sustainability, research and investment solutions, bringing together the risk and compliance functions, and integrating Neue Aargauer Bank into the Swiss Universal Bank. You'll recall that we reported at the end of the third quarter that we'd spend CHF107 million on restructuring. And you can see that the total for the year was CHF157 million, primarily taken in International Wealth Management, the Investment Bank and in the Swiss Universal Bank and primarily relating to redundancy expenses. At this point, I'd expect our restructuring cost to total something between CHF300 million and CHF350 million, largely lower than before.

And I would still expect to complete this program by the end of the second quarter of this year. Now we continue to expect to achieve the gross savings that I mentioned in October, that's CHF250 million to CHF300 million for 2021 and CHF400 million to CHF450 million from 2022. Let's just turn to the next slide, please. Just look at credit provisions. Including provisions for the CECL methodology, which, as you know, we implemented at the start of last year, we started

the year, we took an additional CHF864 million of provisions, split approximately equally between CECL-related and specific provisions. Net write-offs of CHF84 million and other adjustments took us to a balance of CHF2.0 billion at the end of June. If we look at the second half of the year, our CECL balance was more stable, with a net release of CHF23 million, reflecting a broadly unchanged set of projections. We did, however, see an increase in specific allowances and had net write-offs in the second half of CHF241 million. Factoring in the weakness of the U.S. dollar, the net provisions on the balance sheet of CHF1.9 billion at the end of the year will split approximately equally between specific and nonspecific provisions and were clearly considerably higher than where we started 2020. Let's move to the next slide, please. I think if we look forward to 2021, I just caution, I think it's too early really to make forecasts for credit provisions for this year. Clearly, 2020 was an exceptional year, especially as the pandemic coincided with the introduction of CECL. Our provisions were almost four times higher than our 11-year average of CHF280 million per year. That equates to an average provision for credit losses ratio that is the total taken relative to loans held at amortized costs outstanding of nine basis points. For 2020, that ratio let to 30 basis points.

Now of course, I would expect to see our provisions return to levels that are more normal over the next few years with the difference dropping through to the bottom line. But the pace of that normalization does remain difficult to gauge. Personally, I do not expect to see a comparable increase in CECL charges in 2021, given that I believe we're unlikely to see a repeat of the precipitous decline in the economic operating environment that we witnessed about a year ago. However, against this, we do need to balance the risk of increasing corporate failures as we emerge from the pandemic, together with a corresponding requirement for heightened levels of specific provisions. Next slide. Now shown here, a version of this slide over the past few quarters. And just as a reminder, it charts our allowance for credit losses on loans as a percentage of gross loans for our wholesale business across last year compared to three of our leading U.S. peers. As you can see, we remain broadly similar or indeed marginally more conservative levels to the other banks. Next slide, please. Now before we turn to the divisional overviews, I wanted to give you a summary of the revenue trends that we've seen in our Wealth Management businesses. Let me start with the net interest income on the left-hand side. Unsurprisingly, we look that in Swiss francs. Net interest income has dropped sharply since the start of the pandemic from CHF1.35 billion in the first quarter of 2020 to CHF1.2 billion in the fourth quarter. However, as Thomas has indicated, on a sequential basis, this downward trend has now stabilized and given the momentum that we're seeing in our lending programs, we would expect to see this trend begin to improve sequentially in 2021. In terms of recurring commissions and fees, after the low point in the second quarter, primarily a result of the impact on portfolios of the market sell-off in March and April and compounded by the weaknesses of Swisscard, fees have increased steadily notwithstanding the currency impact. Transaction activity, as I mentioned before, has been strong throughout 2020, including into the fourth quarter and notwithstanding normal seasonal trends.

Our global trading solutions offering, providing bespoke institutional-style products to our ultra-high net worth clients, was a key driver of this growth in transaction revenues, with Wealth Management-related revenues in collaboration of GTS, 34% higher in the year compared to 2019. And I would reiterate that this strength has been sustained so far in 2021. I'll now turn to divisional slides. Now before doing so though, I'd remind you that in the tables, we're showing adjusted key financials, excluding significant items. Where appropriate, I will call out the points where FX moves have had a particular impact, and I've included in the appendix versions of the slides of IWM and APAC in U.S. dollars as well as full reconciliations with the reported numbers. Let's start with the Swiss Universal Bank. On an adjusted basis and excluding significant items, the Swiss Universal Bank generated net revenues of CHF5.31 billion for the year, slightly higher than in 2019. Operating expenses were slightly lower at CHF3.15 billion, reflecting our strong ongoing cost discipline. However, the significant increase in provisions for credit losses, CHF270 million compared to CHF109 million in 2019, means that adjusted pre-tax income excluding significant items, was 4% lower year-on-year at CHF1.89 billion. It's worth noting that CHF75 million of the provision for credit losses was part of our CECL calculation, which, as you know, is based on an assessment of a range of macroeconomic factors and can be

have seen the pressure on net interest income stabilized compared to the third quarter, helped by an increase in net loans, which rose to CHF176 billion, from CHF174 billion. Recurring revenues, albeit stable sequentially, still reflect the substantially weaker performance of our investment in Swisscard. Transaction-based revenues were 5% lower in the fourth quarter compared to the same period last year, though they increased by 8% for the full year, driven by higher brokerage fees and increased revenues, both from GTS and from our Swiss Investment Banking business.

Credit provisions were still elevated at CHF66 million in the fourth quarter compared to CHF43 million in the fourth quarter of 2019, although we didn't see any particular signs of stress in the period. Now before we move to the next division, you will notice that in addition to showing a year-on-year comparison of some of the key divisional metrics for the quarter and include the full year total for these metrics for the last five years. Let me now turn to IWM. Our International Wealth Management division delivered net revenues of CHF4.92 billion for the year on an adjusted basis, excluding significant items, 10% lower year-on-year. Operating expenses were 2% lower than 2019 at CHF3.62 billion, although provisions for credit losses of CHF110 million compared to CHF49 million in 2019, which meant that the adjusted pre-tax income, excluding significant items, was 30% lower year-on-year at CHF1.19 billion. This total includes an adverse impact of CHF104 million from FX movements. The reported loss of CHF12 million for the quarter was primarily due to the York capital impairment of CHF414 million, the charge for which was taken in Asset Management. Adjusted pre-tax income, excluding significant items, was CHF321 million, 22% lower year-on-year, but up sequentially by 20% on the third quarter of the year. Within Private Banking, we saw a record year for net new assets of CHF16.7 billion for the year, of which CHF4.3 billion for the fourth quarter was also a record, and it reflected strong inflows both in emerging markets and in Western Europe. Asset Management saw CHF15.5 billion of net asset inflows for the year against a challenging backdrop and improved inflows in the fourth quarter compared to the third with net new assets of CHF6.3 billion. Let's turn now to Asia Pacific, please, on the next slide. The performance of our Asia Pacific division reflected stronger market and client activity. Full year adjusted net revenues, excluding significant items, were 5% higher year-on-year at CHF3.09 billion, with operating costs on the same basis, 2% higher at CHF2.09 billion.

Provisions for credit losses were CHF236 million compared to CHF55 million for '19, resulting in adjusted pre-tax income, again excluding significant items, of CHF769 million, 7% lower than in the previous year. Now looking at the fourth quarter, adjusted net revenues and adjusted pre-tax income, excluding significant items, was stable year-on-year at CHF746 million and CHF201 million, respectively, and that resulted in a return on regulatory capital of 23%. Transaction-based revenues made the most significant contribution. They were 20% higher year-on-year at CHF415 million, reflecting increased financing revenues, which included mark-to-market gains and higher origination fees from equity-related activity and strong client activity. Net interest income fell by 27% year-on-year, mainly reflecting the low interest rate environment and lower lending volumes due to the deleveraging that we saw in the first half of 2020. Whilst recurring commissions and fees were 5% lower due to unfavorable FX movements. Total net new assets for the year was CHF8.6 billion, equivalent to an annualized growth rate of 4%. That included outflows of CHF1.1 billion in the fourth quarter. We've continued to see a reversal of the deleveraging in the first half of the year and a resumption of net loan growth on a constant currency basis. Let me now take this opportunity just to advise you that as of the first quarter of 2021, we will be presenting the results of our Asia Pacific division in U.S. dollars in order to provide greater transparency on the underlying performance, given that much of our business is conducted either in U.S. dollars or in currencies that are pegged to the U.S. dollars. Let me turn now to the Investment Bank.

The Investment Bank had another robust quarter to close out a year in which strong revenue momentum flowed through to higher profitability and improved returns. If we look at the fourth quarter, adjusted net revenues were 19% higher year-on-year at USD2.34 billion. Adjusted operating expenses were 7% higher at USD1.94 billion, primarily due to higher compensation costs. Provisions for credit losses were USD million compared to USD60 million in the same

look at each business line, the strongest area was capital markets, in which revenues were up by 90% year-on-year, reflecting higher debt issuance activity and a threefold increase in ECM revenues. Our fixed income sales and trading performance has been resilient, particularly as we're not materially exposed to the strongest and the most volatile subsegments in macro, having restructured and downsized our rates business some years ago. Equity sales and trading revenues were 5% higher year-on-year with strong contributions from cash equities and equity derivatives, partly offset by defensive risk positioning in the second half of the year. If we look at the full year performance, adjusted net revenues of USD9.72 billion were 18% higher year-on-year, including growth across all products and accelerating momentum in capital markets, particularly in the second half. Adjusted operating expenses were 5% higher at USD7.35 billion, resulting in adjusted pre-tax income of USD1.88 billion, and that was 70% higher than in 2019. Now I'd just reiterate the guidance that Thomas has given. The positive trends that we have seen in the Investment Bank last year have continued so far in 2021 with a strong capital market pipeline, augmented by a resilient trading performance. And with that, I'd like to conclude my part of this morning's presentation and hand back to Thomas. Thank you very much.

Thomas Gottstein -- Chief Executive Officer

Thank you, David. So let me wrap up on page 46. Our clear growth agenda allows us to deliver attractive shareholder value. This includes our ambition to deliver pre-tax income in our Wealth Management-related businesses, of CHF five billion to CHF5.5 billion in 2023. We expect to deploy most of our incremental capital into Wealth Management and aim to drive positive operating leverage. We affirm our ambition to achieve an RoRC of 20% to 25% for Wealth Management-related businesses and of 10% to 15% for the Investment Bank with sustainable investment solutions at the core of our offering to wealth management, corporate and institutional clients. These efforts should support our goal to achieve our medium-term ambition of 10% to 12% RoTE in a normalized environment, subject to market and economic conditions. I will close my presentation with a few words about the start to 2021. Investment Banking revenues year-to-date are up substantially year-on-year, driven by continued strong capital markets performance and trading activity. We have a healthy IB pipeline across products. We expect more normalized credit provisions in 2021, but with a wide range of possible outcomes. We also expect a more normal level of Asset Management profitability. As such, we saw our strongest January in a decade, with pre-tax income up year-on-year across all divisions, with notable strength in APAC and the Investment Bank. However, this pandemic is not behind us, and we recognize that the broader economic recovery remains fragile and markets will remain somewhat unpredictable. Before I hand over to Kinner, allow me to thank you for your attention today and for your great engagement. I look forward to seeing as many of you as possible this year. In the meantime, I wish you all the best for you and your families and wish you a healthy and prosperous continuation of 2021. Thank you. And with this, I would like to hand over back to Kinner. And we will then go together with David into the Q&A. Thank you.

Kinner Lakhani -- Head of Group Strategy & Development

We will now begin the question-and-answer part of the conference. Operator, let's open the line, please.

Questions and Answers:

Operator

[Operator Instructions]. Your first question today comes from the line of Jeremy Sigee from Exane.

Jeremy Charles Sigee -- Exane BNP Paribas -- Analyst

Hello, thank you very much. Two questions, please. Firstly, on the bonus pool comment that you made, I can't remember, did you say that it was in Swiss francs or in dollars that you reduced

impact reflecting some of the one-off charges in the year or is that a sustained realignment of the profitability in that business in the direction that you need to go toward your targets? So that's my first question. The second question really was a slightly broader one on the Wealth Management side, about flows, where there was weakness in the Swiss business and in Asia in the quarter. But even just looking at the year as a whole, relatively modest flows, I'd say, sort of averaging around sort of 2.5% net new money. And I just wondered how you saw prospects for flows in 2021, whether we can expect a little bit more growth than that in terms of inflows?

Thomas Gottstein -- Chief Executive Officer

Yes. Thanks, Jeremy. I hope you can hear me. Can you hear me?

Jeremy Charles Sigee -- Exane BNP Paribas -- Analyst

Yes, absolutely.

Thomas Gottstein -- Chief Executive Officer

Okay. Very good. Just wanted to make sure the technology works. So bonus pool, yes, is 7% down i

Jeremy Charles Sigee -- Exane BNP Paribas -- Analyst

Thank you, its very helpful.

Thomas Gottstein -- Chief Executive Officer

Thank you.

Operator

We will take your next question and the question comes from the line of Andrew Coombs from Citi.

Andrew Philip Coombs -- Citigroup Inc. -- Analyst

Good morning. I'd like to ask the same two questions I actually asked at the Investor Day, just the updated thoughts. The first on slide 32, under the transaction column, you flagged two things. One is that you've got a very tough comp in first half 2020, given the elevated transaction levels that we saw. On the flip side, you suggest that you've seen a 34% increase in WM-related revenues in collaboration with GTS. So I'm interested to know or how you think those two things will interplay going into 2021 as one is obviously somewhat of a headwind versus the second being a tailwind? So that would be the first question. The second one, I just wanted to return to the Investment Bank. I know when we talked about at the Investor Day, you talked about focusing on profitability and returns rather than market share. You also made a point about your business mix, namely in equity, your overweight cash and derivatives and underweight prime and in fixed income, you've been underweight macro. But when I look at Q4, there was obviously some degree of normalization in a lot of those business mix shifts. Rates particularly pulled back and credit was actually stronger. And yet for the third consecutive quarter, you've underperformed the peers pretty much in every business line, fixed income, equities and primary. So just that momentums kind of stalled a little bit there. So perhaps you could just elaborate on your thoughts on Investment Banking more broadly into 2021. Thank you.

Thomas Gottstein -- Chief Executive Officer

Thank you. Do you want to start with the transactional revenues? And I will take the Investment Bank, David? Thank you.

David Mathers -- Chief Financial Officer

My pleasure. I mean, I think your question, Andrew, was around -- in terms of how we see the com

Thomas Gottstein -- Chief Executive Officer

As far as Investment Banking is concerned, if you look at one of the slides I presented, you can

Andrew Philip Coombs -- Citigroup Inc. -- Analyst

Thank you. Perhaps a follow-up on the latter point. Given, you said about looking at equity holistically and ECM. Obviously, a lot of strength we've seen hit in the back end of 2020 and also in January, it's SPAC related. Can you just comment on the sustainability there and how CS is positioned to benefit? Thanks.

Thomas Gottstein -- Chief Executive Officer

Yes. We had a very strong year in 2020 in IPOs and within that in SPACs, #1 in both. I think yea

Andrew Philip Coombs -- Citigroup Inc. -- Analyst

Thanks very much.

Operator

Your next question comes from the line of Benjamin Goy from Deutsche Bank.

Benjamin Goy -- Deutsche Bank -- Analyst

Yes, hi. Good morning. Two questions, please. First on the buyback. And then secondly, on the recurring fees. On the buyback, as you mentioned, you're a bit above CHF100 million. So just wondering on the pace of the buyback, should we think like you aim for the CHF one billion and then when you have more clarity in the second half, it will depend or will then decide where you land within the CHF one billion to CHF1.5 billion range? And then the second question, on the recurring fee margin, I think they were good in IWM and also solid in APAC, SUB was down. So just wondering what is Q3 all the numbers. Just wondering how you see the outlook and the client risk appetite in terms of demand for products? Thank you.

David Mathers -- Chief Financial Officer

So just first on the buyback. Yes, we obviously started the buyback in January. I think what you

The other factor that we've been explicit for is clearly the Swisscard investment which is booke

Benjamin Goy -- Deutsche Bank -- Analyst

Thank you.

Operator

Your next question comes from the line of Magdalena Stoklosa from Morgan Stanley.

Magdalena Lucja Stoklosa -- Morgan Stanley -- Analyst

Thank you very much. Can you actually hear me well?

Thomas Gottstein -- Chief Executive Officer

Yes, Magdalena

Magdalena Lucja Stoklosa -- Morgan Stanley -- Analyst

Okay. Okay. Great. So I've got two questions. One is on your lending franchise and another one is

Thomas Gottstein -- Chief Executive Officer

Thank you, Magdalena. So on lending, what we saw was, especially in the first two quarters, sign

Magdalena Lucja Stoklosa -- Morgan Stanley -- Analyst

And Thomas, just to be sure that I understood correctly. The expansion of footprint is broad, is

Thomas Gottstein -- Chief Executive Officer

Yes. It's, in particular, the footprint in Asia, but also in the Middle East. Just to give you a

Magdalena Lucja Stoklosa -- Morgan Stanley -- Analyst

Okay, thank you very much.

Operator

Your next question comes from the line of Kian Abouhossein from JPMorgan. Please go ahead. Your line is open.

Kian Abouhossein -- JPMorgan Chase -- Analyst

Thanks for taking my question. First of all, very quick one. Can you just confirm the cost ambit

David Mathers -- Chief Financial Officer

Okay. Thank you very much, Kian. I'll take those three.

Kian Abouhossein -- JPMorgan Chase -- Analyst

I should say profit to book value.

David Mathers -- Chief Financial Officer

Okay. Thank you, Kian. Let me take the different points. So firstly, in terms of cost ambition,

I thought a lot about IWM, but we have to remember, in the bulk of IWM's costs are here in Switz

We have looked at hedging that occasionally but I mean, in reality, it's the economic base of th

Kian Abouhossein -- JPMorgan Chase -- Analyst

Very clear, thank you.

David Mathers -- Chief Financial Officer

Thanks, Kian.

Operator

Your next question comes from the line of Amit Goel from Barclays. Please go ahead. Your line is open

Amit Goel -- Barclays Bank -- Analyst

Thank you. So I've got a question on the Wealth Management margin progression. So I guess, just

David Mathers -- Chief Financial Officer

Well, look, just a few points, Amit. I think we've made this point before that the banks do not

And I'm just making that comment sequentially, clearly not year-on-year because you had a comple

Amit Goel -- Barclays Bank -- Analyst

Okay, thank you.

David Mathers -- Chief Financial Officer

Thanks, Amit.

Operator

Thank you. Your next question comes from the line of Jernej Omahen from Goldman Sachs. Please go ahead. Your line is open.

Jernej Omahen -- Goldman Sachs -- Analyst

Good morning from my side as well. Yes. Actually, I have only two questions left. It's always tempting to look at operating performance and excluding all the one-offs, I guess. But then it becomes problematic when these one-offs become recurring to an extent. And I just went back and I looked at consensus estimates for the litigation charge at Credit Suisse at the start of January of last year, and it was CHF58 million and it ended up being CHF988 million. The consensus for this year is CHF68 million. And for 2022, it's CHF36 million Swiss Francs. And I was just wondering, so just two questions. And I think to an extent, I go back to Kian's questions as well on stated versus underlying. To what extent do you think consensus is accurately capturing what you expect for litigation and non operating charges more broadly for this year and next? And then Thomas, a question to you, to what extent were you surprised in your new role as CEO by the extent of non operating charges that keep popping up at Credit Suisse? And then the second question is just very basic. So on page 5, you quote low bond yields as one of the factors affecting or pressuring this year's results. I think we can see from your chart very nicely now this trend is reverting. And I was wondering if you see that as a potential tailwind to your results this year? Thank you very much.

Thomas Gottstein -- Chief Executive Officer

Okay. I'll take the first one and then maybe, David, you can take the second one. Look, it did o

David Mathers -- Chief Financial Officer

If I could just make a few supplementary points, Jemej, on this one. I think, firstly, the reason

Secondly, I'd also point out that the significant item does include some positives. Obviously, y

Jernej Omahen -- Goldman Sachs -- Analyst

Thanks very much.

Operator

Please go ahead. Your line is open.

Anke Reingen -- RBC Capital -- Analyst

Yes, thank you very much. Two, please, two follow-up questions. The first is on the litigation o

David Mathers -- Chief Financial Officer

Well, that's the two points really. I think we obviously did reduce the IPO by CHF300 million, w

Anke Reingen -- RBC Capital -- Analyst

Okay, thank you very much.

Operator

Thank you. Your next question comes from the line of Adam Terelak from Mediobanca. Please go ahead. Your line is open.

Adam Terelak -- Mediobanca -- Analyst

Hey, good morning. Thanks for taking my questions. I want to just come back to costs. Look, I th

David Mathers -- Chief Financial Officer

Thank you, Adam. There's a number of points there. So I might come back to, just to clarify in c

Adam Terelak -- Mediobanca -- Analyst

I mean in terms of deltas on 2020, it's CHF600 million versus the top end of the prior range. I mean it's a big number. I'm just wondering whether that's bringing forward investment or when the revenues attached to that could come through?

David Mathers -- Chief Financial Officer

I probably would defer to Thomas. I mean obviously, you stepped in as Chief Executive. And I thi

Thomas Gottstein -- Chief Executive Officer

Yes. Look, I think that it's important to address obvious cost reduction, structural opportuniti

David Mathers -- Chief Financial Officer

Adam, I think your second question was, is our guidance given in dollars or in Swiss francs. Our guidance is given in Swiss francs.

Adam Terelak -- Mediobanca -- Analyst

Okay, great. Thank you.

Operator

Thank you. Your next question comes from the line of Andrew Lim, Societe Generale. Please go ahead. Your line is open.

Andrew Lim -- Societe Generale -- Analyst

impact of lower interest rates has affected interest income in CIC, for example, and overall for Wealth Management net interest income. But could you elaborate more specifically about your sensitivities due to the shortened versus the long end of the U.S. curve? Obviously, there's been quite a few shifts in the U.S...

Thomas Gottstein -- Chief Executive Officer

Can you repeat that question, please? Sorry, it was difficult to hear you acoustically.

David Mathers -- Chief Financial Officer

Andrew, I think you cut out for a bit, I'm afraid, sorry.

Andrew Lim -- Societe Generale -- Analyst

All right. Sure. I'll repeat again, asking about the sensitivity of your net interest income to the shortened versus the long end of the U.S. curve. Could you elaborate more on your sensitivities there? And how we should expect NII to develop given moves in the past two quarters?

David Mathers -- Chief Financial Officer

I think -- I mean -- sorry, Andrew. Did you have a second question, sorry?

Andrew Lim -- Societe Generale -- Analyst

Yes. My second question really is on dynamics on recurring fees. In Swiss franc terms, your AUM is at record high levels. But if we turn to slide 32, your recurring fees are edging down. And maybe you can allude that to translation effects as well, but are there other dynamics happening there, which offset the record high AUM?

David Mathers -- Chief Financial Officer

Okay. I think it sounds -- perhaps I take the first point, Thomas. But I think in terms of the d

Thomas Gottstein -- Chief Executive Officer

On the recurring, if you exclude certain, I would say, abnormalities like Swisscard in Switzerland, which is our credit card business, which is equity-consolidated business joint venture with American Express, which all the revenues are in recurring. And clearly, credit card business was very difficult in 2020. But if you exclude that, there is a very clear correlation between assets under management and recurring revenues, which we have seen some degree of margin erosion. But at the same time, we are very much focused to increase our mandate penetration. That's our clear strategy in all three private banking divisions. I think with our performance we've had in our CIO office, but also with our efforts around ESG and new mandates, be it for high-net worth, but also ultra-high net worth, which would include also private equity investments. So platinum mandates, as we call them, we are offering new opportunities for our clients to have tailor-made mandates depending on their risk appetite. And this is how we are planning to further increase our recurring revenues. And as you can see on page 32, while year-on-year, we are down, and there is also some translation element in there, we like the trajectory, and we definitely see an improvement in our overall recurring fees even in Swiss francs.

Andrew Lim -- Societe Generale -- Analyst

Okay, that's great. Thank you very much.

Thank you. Your next question comes from the line of Daniel Regli from Octavian. Please go ahead. Your line is open.

Daniel Regli -- Octavian AG -- Analyst

Good morning. Thank you for taking my questions. First -- the first question is on net new money

Thomas Gottstein -- Chief Executive Officer

Okay. So on net new money, I mean, if you look at our page 39, you see that for the whole year,

Daniel Regli -- Octavian AG -- Analyst

Okay, thanks.

Thomas Gottstein -- Chief Executive Officer

Thanks, Daniel.

Operator

Thank you. Your next question comes from the line of Patrick Lee from Santander. Please go ahead. Your line is open.

Patrick Lee -- Grupo Santander -- Analyst

Hi, everyone. Thanks for taking my question. I have a couple of questions on the Wealth Management

Thomas Gottstein -- Chief Executive Officer

Yes. Thanks, Patrick. Thanks for your two excellent questions. So custody assets in Asia grew for mainly two reasons. One, we saw some deleveraging, as I said earlier, but also there are quite a few of them, which are single-stock positions with performance, strong equity markets in Asia, obviously. So we saw both trends. In Switzerland, a bit similar, but with less, I think the equity exposure, single-stock exposure in custody assets is probably proportionally smaller. There is also a lot of cash in there. There's some gold in there, et cetera. So these are single asset class positions where we have low or no revenues, which we define as custody assets. To your second question, you could definitely make the argument that you should look actually at your margins in percentage of the overall client business volume. Obviously, then we would deviate a bit from the industry standard, which is to relook at it in percentage of the AUM. We are currently not planning to change that, but we are planning to be disclosing client business volume going forward because, as I said before, I think it's the right way to look at the franchise.

David Mathers -- Chief Financial Officer

I think there's clearer indication of the number of assets, which the bank has relationship associations with. So I think what was done very well in SUB over the years, essentially was to migrate some of these custody businesses into AUM as you build on the initial relationship with the clients. So I think it's a very good leading indicator and very much worth looking at.

Patrick Lee -- Grupo Santander -- Analyst

Okay, thank you very much.

Operator

I will hand the callback over to you, Kinner.

Kinner Lakhani -- Head of Group Strategy & Development

Great. Thank you very much, everyone, for all your questions this morning and your interest. Of course, if you have any further questions, feel free to contact IR. Thanks, all.

Thomas Gottstein -- Chief Executive Officer

Thank you very much. Bye-bye.

Operator

Thank you. That concludes today's conference call for analysts and investors. A recording of the presentation will be available about two hours after the event. The telephone replay function will be available for 10 days. Thank you for joining today's call. You may all disconnect.